

TURKEY'S COMING SHALE GAS BOOM

"A GAME CHANGER... AND HIGHLY LUCRATIVE" — REUTERS

I grabbed a taxi and headed up to the Le Meridien Hotel in Etiler, a neighborhood in Istanbul, Turkey. I was on my way to have breakfast with N. Malone Mitchell III. He is the CEO, chairman and 40% owner of TransAtlantic Petroleum (TAT:nyse).

Malone's company is the best way I've found to play a fascinating emerging energy story. It comes with risk, but offers a potential two-five times return on your money over the next few years. Let me start with the big picture in Turkey.

The country sits on large untapped resources of shale gas. Nobody yet knows just how much natural gas Turkey might hold. One guess puts Turkey's shale gas reserves at 20 trillion cubic meters. A fraction of that in Ukraine drew a \$10 billion investment from Shell last month.

The irony is that Turkey depends heavily on expensive imports for both oil and gas. The two charts on the next page tell you all you need to know. The first shows you how Turkey imports nearly all of its oil needs. The second shows you the same story for natural gas with an even steeper curve. (Charts courtesy of Mazamascience.com.)

Depending on your neighbors for oil and natural gas is not so bad. The problem is that it is expensive in this case. Natural gas prices in Turkey top \$10 per thousand cubic feet compared with just \$3 in the U.S. So you can see the economic incentive to develop those native resources. For years out of reach, new technology makes accessing them possible.

On the day of my meeting with Malone, Reuters released a story on Turkey's gas potential. Malone got it on his phone while we were eating breakfast and showed it to me. A key excerpt:

With domestic gas consumption rising and [Turkey's] geographic location meaning it is also well placed to supply international markets, major exploitable reserves could be a game changer for Turkey's economy and highly lucrative for whoever finds them.

"We are keen to exploit this method and we must make economic use of shale gas," energy minister Taner Yildiz told Reuters, saying it would be a priority for the near future.

This sets up the macro appeal of TransAtlantic. The other part of the appeal is in the micro, which begins with the talented Mr. Mitchell himself. He is a self-made oil and gas billionaire, a successful builder of companies. He is also, as I noted above, a big shareholder. And he has been buying more of late.

I've been following TransAtlantic for a few years now. It has been a longtime holding of my *Mayer's Special Situations* newsletter. It has not been a happy story to date.

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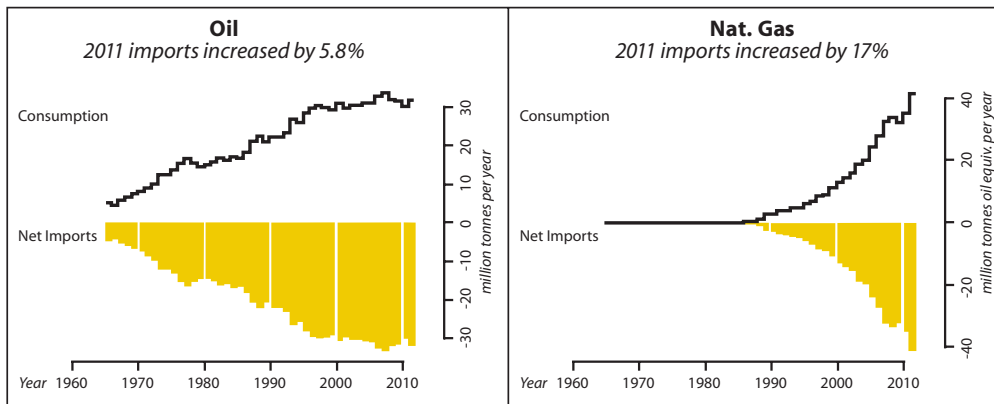
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Turkey and Dubai: Right side up

EDITOR

CHRIS MAYER

Turkey Imports Almost All of Its Oil & Gas Needs



Source: Horizon Kinetics

Over breakfast, Malone and I talked about the challenges TAT has had so far.

There has been a big learning curve in figuring out the geology. In many ways, TransAtlantic's experiences mimic those of other successful unconventional plays. "It can take two years of failures before it all comes together," Malone said.

There has also been the challenge of finding the right mix of people and getting the right systems in place. Malone told me about the intricacies of Turkish tax accounting, for instance. And he related some stories about personnel issues.

It is always easier to draw up the blueprint than to put it into action — especially in emerging markets. On the positive side, Malone said doing business in Turkey was as easy as doing business in Texas or Oklahoma from a regulatory point of view.

And though there have been setbacks, the plum of Turkey is as ripe as when Malone got involved in March 2008. He said Turkey then was like Texas in 1938 — a practically virginal land flush with oil and gas possibilities.

I asked him if he was still as excited about it as he was then. "Yes," he said, "but I wish we knew then what we know now. Knowledge comes at a price."

Frustrated by delays in ramping up production, the market has all but abandoned the shares. They now languish at around \$1. Even just the value of its proved reserves — the so-called SEC PV-10 value — is about \$1.75 per share (pretax). That gives the company no credit for whatever lies in its 5 million acres of underexplored land area. Yes, 5 million acres.

I asked Malone what he thought the market was missing with TransAtlantic.

"Well, the market thinks we aren't going to do anything," he said, thinking about that languishing share price. "The truth is if we weren't a public company, I'd be fine about where we are."

Indeed, the company is in a good position in a strategic sense. It has those 5 million acres locked up on long-term leases. It was early enough that it grabbed some of the best acreage. There are only three oil companies of consequence in Turkey: the national oil company, a privately held oil company and TransAtlantic. Everybody who comes after gets the crumbs left by these three.

Besides, TransAtlantic is already doing its bit to provide oil and gas to Turkey's thirsty industrial base. In the Thrace Basin, TransAtlantic gas supports the city of Bursa. About 60 miles southeast of Istanbul, the Ottomans captured the city in 1326 and made it their first capital. Surrounded by forested hills and fruit orchards, it was once a Silk Road city. Today, there are nearly 2 million people in Bursa and it is home to thriving automotive and textile industries.

And there are a couple of big catalysts on the horizon that could make 2013 the year when the cards finally turn up right for Malone and his fellow shareholders.

First, Turkey's unconventional oil and gas plays are getting more attention. Just a couple of days after our meeting, Malone would attend Turkey's first shale gas and oil conference at the Bilkent Hotel in Ankara. There is an excitement in the air about what could happen in Turkey. And it is still very early.

The buzz could help Malone as he is trying to nail down a joint venture to accelerate the development of TransAtlantic's acreage. The JV, Malone has said before and repeated at breakfast, could be as big as the sale of Viking (the company's oil field services arm). For reference, this sale brought TransAtlantic \$164 million, gross. As the whole market cap of TAT is only about \$370 million, a JV that brought in that kind of cash would be huge. (And it is gravy on top of the \$1.75 SEC PV-10 value I mentioned earlier.)

Second, the company is drilling some potentially high-impact wells. We should get the results on these wells within in the next six months. Malone was optimistic that

these would bring strong results. Exciting results here could also light a fire under the stock.

I was glad to meet up with Malone. I have confidence he will figure it out and make it work. I think he is honest. He also owns a bunch of stock — an owner-operator, for sure. His track record of success is beyond dispute. All in all, a good mix, in my experience.

Reflecting on what TAT is building, I thought about how a bigger oil outfit will one day want to own it all. “Someday, somebody is going to want to write you a big check,” I said.

Malone said nothing, but his expression and his eyes told all. Exactly, they seemed to say. Exactly.

Note: TransAtlantic Petroleum trades under the ticker TAT. I have it as a buy in *Mayer’s Special Situations*. I share it with you here because it is one of the most intriguing ideas I have in Turkey and a good way to get exposure to a unique energy story.

A NEW FUND FOCUSED ON OWNER-OPERATORS

Do you remember the *Seinfeld* episode “The Stock Tip”? George tries to convince Jerry to go in on a stock with him. There’s this guy, Wilkinson. He’s made a fortune in the stock market, George says. When Jerry waivers, George says: “C’mon. Wilkinson’s got millions invested in this stock.”

In the end, the stock works out and George makes \$8,000. The episode is funny, but it also reflects a bit of stock market wisdom: Bet with the people who have skin in the game.

Here I would like to return again to a favorite topic of mine: the case of the owner-operator. In C&C, we love to buy stocks where the guy in charge owns a bunch of stock. (It is the “O” in CODE.) In what follows, I want to share with you a new mutual fund — started last September — dedicated to investing with owner-operators.

But first, I want to share a particular quirk in this market of ours that makes owner-operators timely buys. For that, I want to turn to some of the work done by the money management firm Horizon Kinetics (www.hamincny.com/default.asp).

I listened in on a conference call with Peter Doyle, a money manager at the firm. And he had a good discussion about how the popularity of exchange-traded funds (ETFs)

distorts the market. ETFs are essentially ready-made baskets of securities that you buy like a stock. There are real estate ETFs, oil stock ETFs, gold stock ETFs, etc. As people pile into an ETF, that ETF has to go out and replicate its set portfolio — regardless of what the prices of the stocks are.

The people who make these ETFs like to put big, liquid stocks in them. These are easy to buy and sell. The problem is that companies controlled by insiders — thanks to their large stakes — tend not be as liquid as their peers. Thus, the ETFs bypass such companies or give them a very low weighting.

As result, Doyle says, “We’re finding these owner-operators... are being priced well below the marketplace, yet... they have returns on capital far in excess of the S&P 500 index or any other index you might be looking at.”

It’s really an incredible opportunity for the stock picker. You get the better businesses at cheaper prices. Doyle goes through a great example to show you how dysfunctional things are: Simon Properties.

It’s the biggest real estate mall operator in the U.S. The stock has gone straight up. It was \$26 per share in March 2009. It is \$158 per share today. The stock yields 2.9%. It trades for more than 30 times earnings. The Simon family has been a seller. It dumped over \$1 billion worth of stock on the market, which helped the float (or liquidity) of the stock. It was already a big ETF holding. It became an even bigger ETF holding.

So you have a situation where the stock is expensive and insiders are selling but ETFs are mindlessly buying more. There are other property companies owned by insiders that trade for half (or less) the valuation of Simon with twice the yield. “But because there’s not a lot of ‘free float,’ they’re being neglected,” Doyle said. “Those are the types of securities that we’re looking at and trying to include in most of our funds.”

In today’s weird marketplace, the presence of owner-operators can be a signal of a likely value. Value itself is a predictor of future outperformance, but so is an owner-operator. “Owner-operators, over an extended period of time,” Doyle said, “tend to outpace the broad stock market by a wide margin.”

On this topic, there is a wealth of research and practical experience. On the research front, here are a few relevant studies:

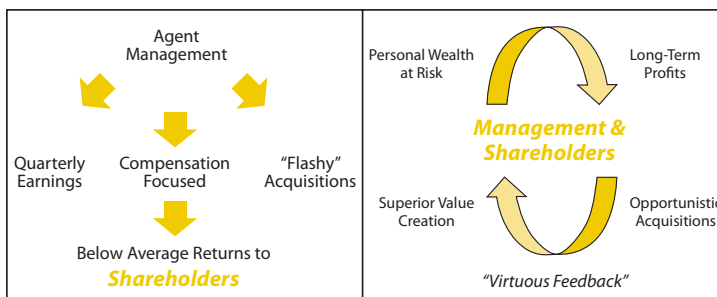
- Shulman and Noyes (2012) — Looked at the historical stock price performance of companies

managed by the world's billionaires. They found these companies outperformed the index by 700 basis points (or 7% annually)

- Fahlenbrach (2009) — Looked at founder-led CEOs and found that they invested more in research and development and focused on building shareholder value, rather than value-destroying acquisitions.
- McVey and Draho (2005) — Looked at companies controlled by families and found they avoided quarterly earnings guidance. Instead, they focused on long-term value creation and outperformed their peers.

There is much more, but you get the idea. People with their own wealth at risk make better decisions as a group than those who are hired guns. The end result is that shareholders do better in these owner-operated firms. Horizon Kinetics has a neat graphic to illustrate the difference between a typical public company and an owner-operator. (See the chart below.)

The Typical Public Company vs. the Owner-Operator



Source: Horizon Kinetics

All is to say: Stick with owner-operators.

With that, let's bring in our mutual fund. This is a way for you invest in this category of the market. The Virtus Wealth Masters Fund (VWMIX), managed by Murray Stahl and Matthew Houk, focuses on owner-operator companies. For a stock to get in the fund, management "must maintain a significant vested interest."

Stahl and Houk write:

By virtue of the owner-operator's significant personal capital being at risk, he or she generally enjoys greater freedom of action and an enhanced ability to focus on building long-term business value (e.g., shareholders' equity). The owner-operator's main avenue to personal wealth is derived from

the long-term appreciation of common equity shares, not from stock option grants, bonuses or salary increases resulting from meeting short-term financial targets that serve as the incentives for agent-operators.

An example of a holding is Colfax Corp. (CFX:nyse), a maker of a variety of industrial products. The brothers Steven and Mitchell Rales own 24% of the stock. They also own 15% of Danaher Corp., which is a similar company. "The return on Danaher shares held over the past 10 years would have been over 3.4 times," the fund managers note, "and well over 59 times if held for 22 years. Colfax is a reprise of Danaher, but at an earlier growth phase."

I think this fund will be a winner. I recommend few mutual funds in these pages. In fact, I can count three. The Gabelli Focus Five Fund (see the July 2012 letter, No. 101), which runs a concentrated fund focused on Gabelli's best ideas. The Morgan Dempsey Small/Micro Cap Value Fund (see the October 2012 letter, No. 104), which also focuses on owner-operator companies. And now the Vitus Wealth Masters Fund (VWMIX).

You can — and should — create your own minimutual fund using the owner-operator companies I recommend in these pages. But you may also want to supplement these holdings with the three recommended funds above.

So my advice again is to stick with the owner-operators. In the *Seinfeld* episode I mention at the outset, Jerry sells out in a panic when the stock's price declines, afraid something is wrong. But Wilkinson, the insider, never sold. In the end, George stuck it out with Wilkinson. "I told you not to sell," he tells Jerry. "Wilkinson cleaned up." And so did George.

A BILLIONAIRES' TAX SHIELD YOU CAN USE

Billionaires such as hedge fund manager John Paulson have found a neat way to slip the tax man. It's also one you can take advantage of.

Paulson, you may remember, made a fortune betting against subprime mortgages in 2007. Last year, he took \$450 million to Bermuda. The idea was to start a reinsurance company. (A reinsurer sells insurance to other insurers.) The key is that current tax laws allow the reinsurer to shelter profits and defer taxes for years, perhaps indefinitely. But it has a special appeal for hedge fund managers.

Why would a hedge fund want to run a reinsurance company? Put simply, because they can enfold their hedge

fund in a reinsurance wrapper and get the same tax shield. What they do is put a lot of money in the reinsurer to start. Then, they risk only a small part of that capital base writing reinsurance and earning premiums. The hedge fund manages the capital. Paulson's reinsurance firm, Pacre, for example, won't risk more than \$170 million. That's only about one-third of its capital base.

The concept is smart and others have followed suit. Dan Loeb's Third Point and Steven Cohen's SAC also started reinsurance companies in Bermuda. Both are billionaire hedge fund managers. There are others. "The Bermuda reinsurance game is a thing of beauty," *Institutional Investor* magazine wrote.

The granddaddy of this movement was David Einhorn. He started **Greenlight Re (GLRE:NASDAQ)** in 2005 and put all of its assets under Greenlight Capital, the hedge fund. He also opened it in the Cayman Islands. This is an easy way to gain the tax advantages the billionaires crave. You just buy Greenlight Re — which pays virtually no taxes. In some ways, your investment is better off there than in the Greenlight hedge fund itself, which is fully taxed.

The Cayman Islands were just malarial swamps 50 years ago, but today the island nation is the world's fifth-largest financial center, according to the FT. Set about a hundred miles south of Cuba, the islands house 9,400 hedge funds and \$2.2 trillion in assets.

The FT had a great little piece on the Caymans recently ("Buried Treasure," by Sam Jones). The reporter dug up a terrific quote from a banker published in *Time* magazine in 1973. Then, the poverty-ridden islands were just ready to take off. The banker said, "We like the place because it is suitably devoid of law." Ha!

"Cayman has had a hard time shaking off its frontier reputation ever since," Jones writes, "even though the days when drug barons landed with suitcases of money and lugged them brazenly to the local bank are now but a memory."

The Cayman Islands are one of a handful of "flags of convenience" for financial companies looking to lower their tax bill. Others include Bermuda, Ireland, Guernsey and Panama. Ireland has a tax rate of just 10% and, along with Luxembourg, is a favorite nesting spot for European asset managers. Guernsey, in the English Channel off the coast of Normandy, is London's closest and most widely used offshore center. Panama, in addition to low (or no) taxes, has few reporting requirements. It too is becoming a favorite place to shelter assets. This is not an exhaustive list.

Around the world, such places are likely to grow in importance as people try to escape the clutches of higher taxes, prying eyes and rising regulatory costs. There are pressures to close such "loopholes." But I doubt they will ever take hold. The financial world breathes through holes like these. And too many wealthy and powerful people depend on the tax-free oxygen they provide.

Of course, you still have to make money. As Bloomberg reports, Paulson's investors lost about \$19 million last year. They wouldn't have paid any taxes anyway.

BUFFETT'S POKER BUDDY & THE \$10 MILLION DECK

As soon as I met Ryan O'Connor, I knew I wanted to get him on the team. As managing editor, I was casting around for a new editor for Agora's stable. Ryan is a talented investor, brimming with enthusiasm for the subject. He's an investing junkie like me, and we clicked immediately.

I got him to sign on and you'll be hearing more from him soon. Below, I want to share a bit of his fascinating story and — of course — a couple of ideas he likes right now.

First, let me say Ryan has a rack full of honors. He managed funds that generated returns in the mid-20% range over the last six years, easily topping the market. He is also part of a number of fairly exclusive clubs — the Value Investors Club, the Distressed Debt Investors Club and SumZero.

Ryan also has an unusually personal connection to Warren Buffett. His grandfather was an old poker buddy of Buffett's. Back in the 1960s, when Buffett started his original partnership, Ryan's grandpa went all in with the future Oracle of Omaha.

The decision was bold. His grandparents — with six kids — had to part with their life savings to invest in the new Buffett partnership. Remember, Buffett was an unknown then. He was just a scruffy-looking, socially awkward 30-something with disheveled hair, fraying shirt cuffs and wrinkled, ill-fitting clothes. Upon hearing what Grandpa O'Connor wanted to do, Grandma burst into tears.

You can hardly blame her, but Grandpa was on the right track. "My grandpa said it was incredible when Buffett would get talking, the way he would make all kinds of brilliant connections and boil down abstract financial topics. My grandpa said he never saw anything like it."

The young Buffett's investing process completely took

in Grandpa O'Connor: the concept of a margin of safety. The miracles of compound interest. The power of contrarian thinking. The ability to buy stakes in businesses for 25 cents when assets were worth \$1-plus. "Buffett provided my grandpa with a real-world understanding of how to invest and make money over time," Ryan told me.

Of course, the investment worked out beautifully. "This is not exact," Ryan wrote to me by email, "and my grandparents aren't anywhere close to this wealthy, but an initial 10K invested in the original Buffett LP — assuming every dollar continued to remain invested in the LP and rolled into Berkshire — would be worth something like \$300 million after tax. Yeah, read that twice.

"One funny footnote to that," Ryan added. "My grandpa's friends tease him about his decision to sell some stock 25 years ago and build a nice deck at our family's lake house. If you look at what that stock is worth today, his deck cost him about \$10 million. I think that burned in my brain the concept of opportunity cost."

Ryan sums up: "The whole story beautifully contrasts the difference between perception and reality and the immense wealth that can be built when one can tell the difference and is willing to bet big, even if it's lonely for a while."

Later, I chatted with Ryan about some ideas. We think a lot alike about investing, especially with regards to our emphasis on finding great owner-operators.

"David Einhorn is probably my favorite investor," Ryan said. "I admire his ability to teach and illuminate the deeper truths of investing in creative ways. Second, I love his integrity. He's always had this courage to shine the light at the establishment and stand up for the truth, regardless of the consequences."

There was the now famous case of uncovering shenanigans at Allied Capital, on which Einhorn wrote a good book. The crowning achievement of his detective work was uncovering the fatal flaws at Lehman, which went bankrupt soon after. "When he did that, I was riveted," Ryan said. "I thought it was the most ballsy trade ever, given the context. The cat was not out of the bag yet and here Einhorn laid bare a major coverup that threatened the financial system."

This, of course, leads to Greenlight Re, of which Ryan is a fan. "Some people look at it as a way to invest in Greenlight's hedge fund," Ryan said, "but it is much more than that. GLRE is actually more akin to Greenlight's hedge fund on steroids, a tax-advantaged, float-fueled compounding

machine. Even relatively mediocre investing returns should ensure a good return on GLRE." (On this point, see my initial buy.)

"There is plenty of room for improvement. The underwriting has been disappointing and his investment returns over the last few years have been weak as well," Ryan said, "but the incentives are there to ensure David does what needs to be done to fix these things. In fact, investing after a period like this has historically been very profitable."

Reversion to the mean on the underwriting and better investment returns could bring a big windfall. "In that scenario," Ryan winds up, "a valuation closer to 2 times book value would be on the low side of reasonable, or roughly twice the current stock price. Either way, odds are strong GLRE will deliver a return far better than the S&P 500 over time, with a fraction of the risk."

Another idea we talked about was AlarmForce Industries (AF on the TSX, or ARFCF). It is a home security alarm company like ADT. "It's extremely rare to get such a high-quality business so cheap. It trades for only about 5 times steady state cash flow. I think it is worth 8–10 times at a minimum. The business is recession resistant and relatively immune to the health of the general economy." Cash flows are sticky, long-lived, high margin and recurring — all of which are like candy for investors.

As you'd expect, there is an owner-operator here too. Joel Martin is the founder and owns 13% of the company. He also has a paper trail of success in this business. "The CEO is just awesome," Ryan said. "Read his annual letters. They tell you all you need to know." Ryan thinks the stock gets taken private — a la Dell Computer — at \$15 per share. If not, there is an opportunity for a big return. Either way, you win.

Ryan, like me, also loves spinoffs. In December, he was pounding the table on Sears Hometown (SHOS) when it was \$30. Eddie Lampert is the great owner-operator here and Ryan recognized how the setup favored a big return for SHOS. Today, it's \$45.

He's working on a couple of big ideas that he will roll out in a project we've tentatively called *Portfolio Ops*. We'll check in with Ryan again soon. I think he's going to make folks a lot of money.

TURKEY AND DUBAI: RIGHT SIDE UP

Finally, I want to end with some quick reflections on my recent travels through Dubai and Turkey. My travels

don't always lead to a new stock pick. Nonetheless, they do inform our worldview and help shape investment themes and ideas.

My book *World Right Side Up: Investing Across Six Continents* provides a big-picture thesis for how I see the world evolving from an investment point of view. It's become a touchstone idea that I continue to explore in these pages.

The huge, and historically anomalous, economic lead of the West will continue to shrink as the rest of the world catches up. This process follows many fascinating streams and creeks as it carves the investment landscape. It can also lead to shocking transformations within just a generation.

Turkey is a good example of the book's premise in action. The industrialization of Turkey began with a push for free markets in the 1980s and 1990s. The Turks' natural entrepreneurial talents flowered. The foot soldiers became bakers and kebab restaurateurs. And manufacturers.

You would not be so far wrong to think of Turkey as Europe's workshop. By 2005, Turkey made more than half the TV sets sold in Europe. Car manufacturers have numerous plants in Turkey. Renault has its most productive factory in Bursa, according to the FT. Homegrown cotton became the raw material of a growing textile industry. Exports grew 40-fold from 1980–2008.

Journalist Hugh Pope, who lived in Turkey for many years and speaks the language, writes about how the change in Turkey was revolutionary, "given their not-so-distant origins as shepherds or farmers, or their state as Ottoman Empire men of religion, shopkeepers, landowners and, above all, soldiers." (I recommend all three of Pope's books for anyone trying to understand this part of the world.)

In the early 1980s, there was one black-and-white state-owned TV station that broadcast for a few hours each night. Now there are a dozen national stations and hundreds of local ones. There were no supermarkets in Istanbul and only two five-star hotels. Now there are scores of luxury hotels and supermarkets everywhere.

I walked İstiklâl Caddesi, a famous street in Istanbul. There were people all about and in the many shops and cafes. It had all the buzz of a healthy emerging market. Whether in Istanbul or Adana or Mersin, I saw lots of action and plenty of building cranes.

These changes come with offsets. Turkey's traffic is pretty bad. Infrastructure, as usual, lags behind the growth. Turkey

has big ambitions to fix this. There are plans for a third bridge over the Bosphorus, a \$2.2 billion project. There is another plan to build the world's second largest suspension bridge, a \$6 billion project. And there is the airport, a \$9 billion project. It would make Istanbul's airport one of the largest in the world. (I flew Turkish Airlines, its flagship carrier. It already flies to more countries (98) than any other airline.)

Pope reminds us of a key change in policy that kicked off the 1980s boom: massive investment in highways, dams, bridges, airports and telecom and electricity pylons. Perhaps history will repeat.

I have barely scratched the surface. Turkey could be a life's work. But I have seen enough to say that Turkey is one to watch and will be an important market in the years ahead.

Dubai (and the UAE) is another such worthy and fascinating market. I was in Dubai for a speaking engagement (and also did a couple of media interviews) and to meet with old friends. The city-state is in the early phases of what seems a genuine recovery. But it is hard to invest there. There are no easy stocks to buy or funds to invest in as a U.S. investor, so far as I know.

Even so, I always manage to stumble on something interesting. In this case, I was having breakfast at the Capital Club. I met a man named Samer, a transplanted New York banker now starting up a firm in Dubai that focuses on lending to small businesses. He told me his favorite Dubai play, a company called NMC Health.

Based in neighboring Abu Dhabi, it is the largest private hospital chain in the UAE. (Both Dubai and Abu Dhabi are emirates of the UAE.) The famed Indian entrepreneur B.R. Shetty started it in 1977. Last year, he listed it on the London Stock Exchange, ticker NMC. The stock is up 30% since. How I missed this story, I'm not sure. But it sounds like a slam-dunk given the swelling demand for health services in the UAE. Definitely an idea to explore further.

It's an exciting time to be an investor, despite all the world's troubles. I hope you enjoyed this letter and my emails to you about my travels. Thanks for reading, and I look forward to writing you again soon.

Sincerely,



Chris Mayer

OPEN PORTFOLIO POSITIONS

CAPITAL & CRISIS PORTFOLIO

Prices as of 02/28/13

Company/Symbol	Date Rec.	Rec. Price	Current Price	Comments	Recommendation
Brookfield Asset Management (BAM:nyse)	2/05	\$16.13	\$37.80	Real estate, power & more	Hold*
Covanta (CVA:nyse)	6/11	\$16.40	\$19.56	Creates energy from waste	Buy up to \$20
Howard Hughes Corp. (HHC:nyse)	10/11	\$40.07	\$76.79	A revived American original	Buy up to \$80
Kennedy Wilson (KW:nyse)	1/12	\$11.22	\$16.07	McMorrow's asset manager	Buy up to \$14
Retail Opportunity Inv. (ROIC:nasdaq)	3/12	\$11.69	\$12.93	The next Pan Pacific	Buy up to \$13
Pebblebrook Hotel Trust (PEB:nyse)	8/12	\$21.99	\$23.91	Latest play of hotel ace, J. Bortz	Buy up to \$24
Beneficial Mutual Bancorp (BNCL:nyse)	10/12	\$9.99	\$9.59	Cash-rich Philadelphia thrift	Buy up to \$10
First Citizens Bancshares (FCNCA:nasdaq)	11/12	\$161.00	\$179.55	Family-controlled bank	Buy up to \$180
Greenlight Re (GLRE:nasdaq)	1/13	\$23.70	\$23.98	Einhorn's reinsurance company	Buy up to \$24

*Sold half of Brookfield Asset Management for a 113% gain.

Note: All stocks have been carefully selected to meet CODE. The acronym sums up C&C's investment standards. C is for cheap, as compared to replacement cost or private market value. O is for owner-operators; we want to invest with people who have skin in the game. D is for disclosures; we want transparent businesses we can understand. E is for excellent financial condition. The recommended price is the closing price on the day the recommendation is available via e-mail.



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